risk. No falsehood or misrepresentation, not increasing the risk, is material: no misrepresentation touching the ability of the vessel to perform the voyage can be material, if she be seaworthy. The law does not notice grades of seaworthiness; and with regard to this point, her age and tonnage were perfectly immaterial; and it was equally immaterial as to the value, because the value was conclusively fixed in the policy.

E. J. Lee and *C. Lee*, contrà, contended, 1st. That the expression "of Richmond" implied a warranty that the property was neutral, and the con-
*107] demnation was conclusive evidence of a breach of that *warranty. 2d. That the declaration was bad, because it contained no averment of an offer to abandon; and 3d. That the misrepresentation, as stated, amounts to a fraud in law, and that fraud will vacate every kind of instrument; and that in all cases of insurance, any misrepresentation material to the contract, is fatal.

It is because it is a valued policy, that the misrepresentation as to the age and tonnage became material to the contract. It was a misrepresentation of those facts upon which a judgment was to be formed of the value of the vessel. The defendants never would have agreed to fix that value, unless they had believed the representation of the plaintiff as to those facts. The misrepresentation induced the defendants to make a contract which they would not otherwise have made. It is unnecessary, that the plaintiff should have known that he was misrepresenting the facts. He undertook to represent the facts, and by so doing must take the risk of their truth, and the consequences of their falsehood. The materiality was a question for the jury. Whenever the question of law is involved with the fact, the court may leave the whole to the jury.

The plea is not double. A misrepresentation may be in a variety of particulars necessary for the formation of a correct judgment as to the value.

The defendants are not estopped, by their deed, from alleging facts which show the mistake, or misrepresentation, upon which the instrument was predicated; because, if the deed be void, the estoppel cannot exist.

If the goods of an enemy be insured as the goods of an ally, the policy is void. The only question on this point is, whether the vessel was insured as an American vessel.

*108] *The payment of the premium is for ever enjoined, and nothing can be more unjust, than to compel the defendants to pay the loss.

The following authorities were cited by the counsel of the defendants: 1 Rob. 11, 13; 1 Burr. 397; Shep. Touch. 58, 59; Chitty on Bills 8, 9; 3 Bro. Parl. Cas. 525; Smith's Rep. 289; 2 P. Wms. 154, 157, 220, 287; Marsh. 339, 340, 348; Doug. 260; Marsh. 199, 201, 586; 2 Wils. 347; 1 Fonbl. 230; 5 Com. Dig., tit. Pleader, 2, W. 18; *Hayne* v. *Maltby*, 3 T. R. 438; 2 W. Bl. 1152; 5 Co. 129; Gilb. Ev. 163; 2 Vent. 107; Bull. N. P. 173; 1 Mod. 477; 1 Wooddes. 207; *Carter* v. *Boehm*, 3 Burr. 1918; Park 182; *Barnewall* v. *Church*, 1 Caines 229; Doug. 260, 261, 262; *Macdowall* v. *Fraser*, 1 Doug. 260–2; *Carter* v. *Boehm*, 1 W. Bl. 593; Millar 57; Park 209; *Stewart* v. *Dunlop*, Marsh. 208, 350; *Williamson* v. *Allison*, 2 East 452; *Hayward* v. *Rodgers*, 1 Ibid. 590; *Le Cras* v. *Hughes*, Marsh. 540; *McFerran* v. *Taylor & Massie*, 3 Cr. 281; 1 Ves. 213; 4 Dall. 250;

Doug. 96; *Collins* v. *Blantern*, 2 Wils. 352; 1 Vent. 121; Doug. 30; *Long* v. *Jackson*, 2 Wils. 8; Skin. 327.

Jones, in reply, was directed by the court to confine his observations to the 5th and 6th pleas.

No fraud or covin is charged in either of those pleas; the doctrines, therefore, respecting a sealed instrument being vacated by fraud, do not apply. The case depends upon the principles of the common law, applicable to contracts under seal. The 5th and 6th pleas are in substance the same; and if the 5th be bad, as the court below decided, the 6th must be bad for the same reasons. There is no case in which a sealed instrument has been set aside on the grounds alleged in the plea. If the facts would not maintain an action of deceit, they will not avoid a contract under seal. They cannot even be given in evidence. It must be a *matter that goes to the whole contract, and shows it to be void *ab initio*. It must be an allegation of fraud, or of illegal consideration. [*109

The case of *Hayne* v. *Maltby*, 3 T. R. 438, is the only one cited which bears upon the present. But there, the contract was void *ab initio*, and the case was decided upon the principle of fraud. It is immaterial, what the facts of the case were, or how slight the evidence of fraud was. It is the principle only which is to be considered.

In an action at law upon a sealed contract, you cannot go into the question of consideration, but to show it fraudulent or illegal. *Chandler* v. *Lopus*, Cro. Jac. 4; 1 Com. Dig. 184; 2 East 446.

February 24th, 1809. CUSHING, J. (Marshall, Ch. J., not sitting in the cause), delivered the opinion of the court,(*a*) as follows:—The insurance in this case being general, as well for the parties named as "for all and every other person or persons to whom the vessel did or might appertain," and containing no warranty of neutrality, belligerent as well as American property was covered by it. Some of the parties being described as of Richmond, does not necessarily imply that they all resided there; but if they did, mere residence would not make them citizens; and even then, an express warranty was necessary, if it had been designed to run only a neutral risk. This is an answer to the 7th as well as to the 4th plea; because there can be no undue concealment as to the parties interested, where the terms of the policy are so broad as to preclude the necessity, either of disclosing their names, or of inserting them in the instrument.

*The eighth plea is also bad. The defendants acknowledge, under seal, to have received a consideration of 17½ per cent. for the insurance they made, which it appears was secured by a note, the amount of which was to be deducted from the sum to be paid for a loss, if any happened. On the face of the instrument, then, a valid consideration, if that be necessary, is stated, and if the note be never paid, it cannot vacate the contract, or be relied on as a defence to an action on it. This court knows not why a court of equity has been applied to for an injunction. Its proceedings, therefore, can have no influence on the present suit, for notwithstanding its interposition in the way mentioned in this plea, the defendants cannot be deprived of the right they have reserved of deducting the amount [*110

(*a*) Present, CUSHING, WASHINGTON, LIVINGSTON and JOHNSON, Justices.

of premium from whatever sum they may have to pay for the loss that has occurred.

Without deciding whether a material misrepresentation, not fraudulent, can be pleaded in avoidance of a sealed instrument, the court thinks there is no fact disclosed by either the fifth or sixth plea, which could vacate an insurance, were it only a simple contract. In no part of the 5th plea, is the misrepresentation alleged to be material. It is only to be inferred, that it had some influence (but to what degree does not appear) in prevailing on the defendants to agree to so high a valuation. It will hardly, however, be insisted, that every over-valuation, however inconsiderable, or however innocently produced, will annul a contract of this nature. It would seem more reasonable, to let mistakes of this kind (if they are to have any operation at all) regulate the extent of recovery, and not deprive the party of his whole indemnity: for if an extravagant valuation be made, an underwriter cannot reasonably ask to be relieved beyond the excess complained of. The allegation that the vessel was worth, when insured, only $3000, is also very unimportant, it being nowhere stated that the plaintiff represented her to be worth more, but only proposed that her value in the policy should
*111] be agreed *at $10,000. Now, although she might not in fact have been worth this sum, it is impossible for the court to say, that this difference was produced entirely by the mistake which was made in her age and tonnage. This would be to say, that a difference of a year or two in the age, and of fifty or sixty tons in the burden of a vessel, must, in all cases, have the same effect on her value; a conclusion which, on investigation, would be found very incorrect. Nor, if it appeared on trial, that her actual worth were no more than $3000, would it necessarily avoid the contract, or restrict the damages to that sum; for she may, notwithstanding, have fairly cost her owners the whole amount of her valuation; who, in that case, would have honestly represented her as worth $10,000.

But a more fatal objection to this plea is, that the misrepresentation relied on is not stated to have been material to the risk of the voyage; and yet the only cases in which policies have been avoided for innocent misrepresentations are those in which the matter disclosed or concealed has affected the risk, so as to render it different from the one understood at the time, and on which the premium was calculated. Most of the remarks on the 5th apply also to the 6th plea: for although it be here alleged that the misrepresentation was material "in regard to the contract of insurance," it should have been stated, in what particular, that it might appear whether the risk run were at all affected by it.

An objection is made to the declaration, but not much relied on, that no abandonment is averred to have been made. In covenant, such averment cannot be necessary. If it be proved on the trial, it will be sufficient.

The judgment of the circuit court on the 4th, 5th, 7th and 8th pleas must be affirmed with costs; and its judgment in favor of the defendants
*112] on the *6th plea reversed; and judgment on that plea be also rendered for the plaintiff.

Johnson, J.—The difficulties in this case arise partly from the pleadings, and partly from the case presented by the pleadings.

This policy, having been effected by a corporation under its corporate